

Flip side of the coin: Rupee slide isn't bad

Strength of a country **needs** not always be tied to the strength of its currency. **Sliding value** of the rupee against the dollar **could push up imported inflation** and increase cost of repaying loans taken in dollars.

But there's another side to the coin: exports. When Nirmala Sitharaman told Parliament last week that 'overvalued currencies **erode** national competitiveness', she was referring to exports.

A weaker currency makes goods cheaper in international markets, boosting exports.

In a global market, **assessing** the rupee in **isolation** from other currencies **can** be **misleading**. Almost every currency is **depreciating** against the dollar, **thanks to** Trump's policy announcements that promise higher returns for investors in the US.

A key **benchmark** for the rupee's strategy here is the renminbi. To maintain its competitiveness, India must **keep pace with** the Chinese currency. If the rupee remains strong while the renminbi **depreciates**, Indian exports will suffer, and imports from China will rise, **undermining** India's ambition to promote domestic manufacturing.

The rupee has been overvalued compared to a basket of currencies that compete with India in global markets. A strong currency can harm, rather than help, the economy. Nations often **devalue** their currencies to gain competitiveness.

Remember India's 1990s BoP crisis and the sharp **devaluation** that followed?



Even the US forced down the dollar's value against the renminbi and other currencies with the 1985 Plaza **Accord**.

Unlike previous **episodes** of rupee slide **driven** by CAD, this time, it's due to capital outflows and rising dollar demand from oil importers, **amid** weak **appetite** in global markets. Once Trump's wave of executive orders **settles**, **global currency markets** - and the rupee - **should** stabilise. **[Practice Ex.]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Flip side of the coin** (phrase) – Other side, Opposite perspective, Counterpart, Contrasting view, Alternative angle दूसरा पहलू
2. **Sliding** (adjective) – Falling, Declining, Dropping, Decreasing, Slipping गिरता हुआ
3. **Push up** (phrasal verb) – Increase, Raise, Boost, Elevate बढ़ाना
4. **Imported inflation** (noun) – the increase in prices of goods and services in a country due to higher import costs. It can be caused by rising prices of imported materials, fuels, or finished products
5. **Erode** (verb) – Diminish, Reduce, Weaken, Undermine, Deteriorate कमजोर करना
6. **Assess** (verb) – Evaluate, Analyze, Judge, Appraise, Review मूल्यांकन करना
7. **Isolation** (noun) – Separation, Detachment, Segregation, Loneliness, Exclusion अलगाव
8. **Misleading** (adjective) – Deceptive, False, Inaccurate, Untrue, Illusory भ्रामक
9. **Depreciate** (verb) – Devalue, Decline, Diminish, Reduce, Weaken मूल्य घटना
10. **Thanks to** (phrase) – Because of, Due to, Owing to, As a result of, On account of की वजह से
11. **Benchmark** (noun) – Standard, Criterion, Reference, Measure, Guideline मानक
12. **Keep pace with** (phrase) – Match, Follow, Stay aligned, Synchronize, Compete with कदम मिलाना
13. **Depreciate** (verb) – Devalue, Decline, Diminish, Reduce, Weaken मूल्य घटना
14. **Undermine** (verb) – Weaken, Sabotage, Erode, Damage, Destabilize कमजोर करना
15. **Devalue** (verb) – Depreciate, Reduce, Lower, Diminish, Cheap मूल्य घटाना
16. **Devaluation** (noun) – Depreciation, Reduction, Decline, Diminution, Lowering मूल्यहास
17. **Accord** (noun) – Agreement, Treaty, Pact, Deal, Understanding समझौता
18. **Unlike** (preposition) – Different from, In contrast to, As opposed to, Contrary to, Dissimilar to के विपरीत
19. **Episode** (noun) – Event, Incident, Occurrence, Phase, Chapter घटना
20. **Drive** (verb) – Propel, Push, Force, Motivate, Influence प्रेरित करना

21. **Amid** (preposition) – During, In the middle of, Among, In the midst of, Surrounded by के बीच

22. **Appetite** (noun) – Demand, Desire, Hunger, Craving, Interest मांग

23. **Settle** (verb) – Resolve, Stabilize, Calm, Conclude, Finalize स्थिर करना

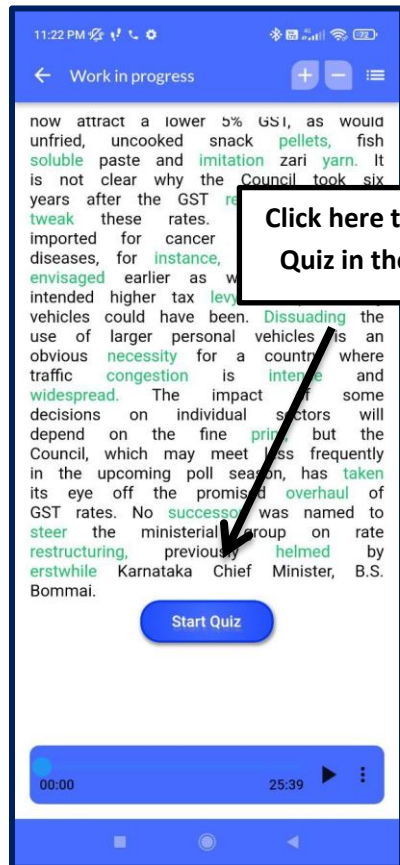
24. **Stabilise** (verb) – Balance, Steady, Secure, Firm, Strengthen स्थिर करना

@mocks_wallah

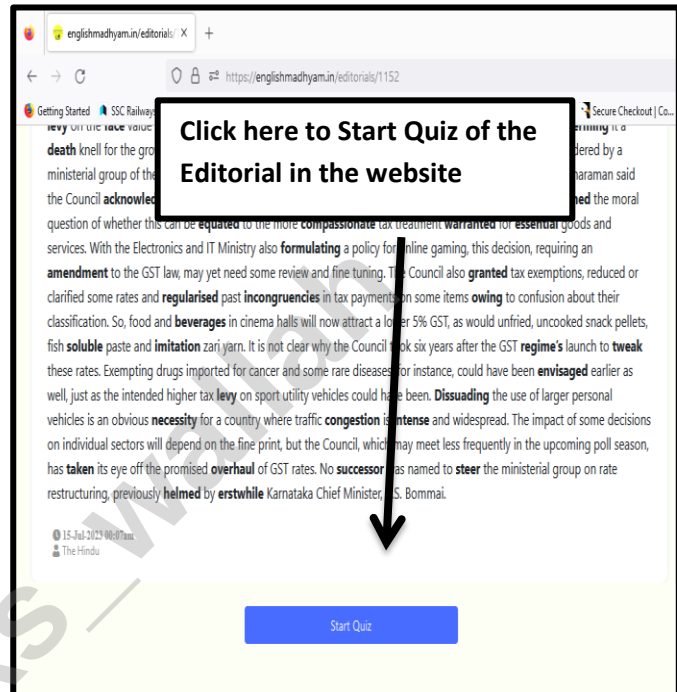
Summary of the Editorial

1. **Rupee Depreciation:** The rupee's slide against the dollar is often viewed negatively due to higher imported inflation and increased costs of dollar-denominated loans.
2. **Export Advantage:** A weaker rupee makes Indian goods cheaper in international markets, boosting export competitiveness.
3. **Nirmala Sitharaman's View:** The Finance Minister highlighted that overvalued currencies can erode national competitiveness, emphasizing the benefits of a weaker rupee for exports.
4. **Global Currency Trends:** Most currencies, including the rupee, are depreciating against the dollar due to Trump's policies attracting investors to the U.S.
5. **Renminbi Benchmark:** India must align the rupee's value with the Chinese renminbi to maintain export competitiveness and prevent a surge in Chinese imports.
6. **Overvalued Rupee:** The rupee has been overvalued compared to currencies of competing nations, harming India's export potential.
7. **Historical Precedents:** Countries often devalue their currencies to gain a competitive edge, as seen in India's 1990s devaluation and the 1985 Plaza Accord.
8. **1990s BoP Crisis:** India's balance of payments crisis in the 1990s led to a sharp rupee devaluation, which helped stabilize the economy.
9. **Current Drivers:** Unlike past episodes driven by current account deficits (CAD), the current rupee slide is due to capital outflows and rising dollar demand from oil importers.
10. **Global Market Weakness:** Weak global market appetite and Trump's executive orders have contributed to the rupee's depreciation.
11. **Stabilization Expected:** Once the impact of Trump's policies settles, global currency markets, including the rupee, are expected to stabilize.
12. **Domestic Manufacturing:** A weaker rupee supports India's ambition to promote domestic manufacturing by making imports more expensive and exports more competitive.
13. **Strategic Currency Management:** India must strategically manage the rupee's value to balance inflation risks and export benefits.
14. **Economic Strength:** A country's economic strength is not solely tied to its currency's value; competitiveness and trade balance are equally important.
15. **Long-Term Perspective:** While short-term challenges exist, a weaker rupee can benefit India's economy in the long run by enhancing export-led growth.

Practice Exercise: Banking Pattern Based



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